

Eligibility Matrix

Purchase/ Rate & Term Refinance							Cash-Out Refinance						
Occupanc y	Units	Max Loan Amount	Min FICO	Max LTV/CLTV	Max DTI	Min Reserves	Occupancy	Units	Max Loan Amount	Min FICO	Max LTV/CLTV	Max DTI	Min Reserves
Primary Residence	1	\$1,500,000	720	80%	50%	6	Primary Residence	1	\$1,500,000	720	75%	45%	6
		\$2,000,000	720	80%	50%	9			\$2,000,000	720	75%	45%	9
		\$3,000,000	720	75%	45%	24		2	\$1,500,000	720	75%	45%	6
		\$3,500,000	740	65%	45%	24		3-4	\$1,000,000	720	75%	45%	6
	2	\$1,500,000	720	80%	50%	6	Second Home	1	\$1,500,000	720	70%	40%	6
	3-4	\$1,000,000	720	80%	50%	6			\$2,000,000	720	70%	40%	9
Second Home	1	\$1,500,000	720	75%	45%	6	First Time Homebuyer		Declining Markets	State Restriction		Max cash in-Hand	
		\$2,000,000	720	75%	45%	9	Primary only, max loan amount \$2MM		10% LTV deduction	Ineligible: Maine, Maryland, Texas: Cash Out Refi		\$500K	
		\$3,000,000	720	70%	45%	24							

Program Guidelines

Loan Terms	- Fixed: 30 years, and 15 years - ARM: 5/6, 7/6 and 10/6 SOFR ARM - Margin: 2.75% - Caps: <u>2/1/5</u> for 5/6, <u>5/1/5</u> for 7/6 and 10/6 5/6 ARM qualifying rate: Higher of note rate + 2% or fully indexed rate 7/6 and 10/6 ARM qualifying rate: Note rate
Minimum Loan Amount	\$1 over the current one-unit conforming limit regardless of the subject property county or number of units.
Mortgage Insurance	Not required
Eligible Borrowers	- US citizens - Permanent resident aliens (front and back copy of resident alien card required) - Maximum 4 borrowers on the loan - Non occupant co-borrower is allowed - Ineligible: Non-permanent resident aliens
First Time Homebuyer	- First time homebuyer is defined as a borrower who has not had ownership interest in a property within the last three (3) years from the application date. - Owner-occupied only - Maximum 80% LTV/CLTV - Maximum loan amount \$2,000,000
Occupancy	Primary, Second Home
Properties	- Eligible: Single family, PUD, Condo (Follow Agency guideline for review type), and 2-4 units - Ineligible: Condo with litigation, Unwarrantable condo, Timeshare units, Manufactured, Mobile, Properties with income producing attributes, Mixed Use, Leasehold, Geodesic/Dome home, Condotel, Log Homes, Commercially zoned properties, Rural zoned properties, Properties with an oil and gas lease, Hawaii lava zone 1-2 - Max lot size is 20 acres. Property greater than 10 acres must have 2 comparable sales with similar acreage
Appraisal Requirements	- Appraisal report is always required, regardless of AUS result. Desktop appraisal is not allowed - Age of report: 120 days from closing. 1004D is required after expiration 2 appraisals are required when loan amount is greater than \$2MM - CDA is ordered and reviewed by New Wave Underwriter, if UCDP score is greater than 2.5 or no score. If desk review is greater than 10% negative variance, the appraisal report is not acceptable. A CDA is not required for loans with 2 appraisals, regardless of the CU or LPA score. - Not allowed: Transfer appraisal, appraisal waiver, value acceptance + property data and hybrid appraisal, C5 property condition rating - FEMA declared disaster area: Re-inspection is required after incident end date by original appraiser to confirm no damage - Declining trends will reduce Max LTV by 10% from matrix
Maximum Number of Financed Properties	Follow agency requirements
Exposure to Single Borrower and/or Household	New Wave Lending exposure to single borrower and/or household 10 loans or \$5MM
Housing Payment History	- A minimum 24 months verified housing history is required with 0x30x24 payment history measured from the credit report date. On the credit report date, the existing mortgages must be current, which means no more than 45 days have elapsed since the last paid installment date. - Living rent-free is okay with a satisfactory letter of explanation - A minimum of 12 months verified rental history is required with 0x30x12 payment history. A standard VOR completed by a professional management company or 12 months bank statements/canceled checks, and a lease agreement to document the term and payment are required



NW JUMBO EXPRESS NATIONWIDE

Age of Credit Documents	Follow Fannie Mae
Credit Requirements	- Follow AUS and applicable current Agency selling guide unless otherwise addressed below. - Must have at least 2 credit scores for each borrower. All 3 bureaus must be unfrozen - Any mortgage account has forbearance history, payment history must reflect 0x30x12 and 0x60x24 in the most recent 24 months since exiting forbearance. They payment history must be provided by the lender/servicer. - Any delinquent credit history requires LOE from borrower - All delinquent credit must be paid off. Collection and charge-off individually ≥ \$1,000 collectively > \$2,500 must be paid off
Derogatory Credit Event (Including NOD)	7 years waiting period from application date. LOE is required to address the circumstances. (Foreclosure, notice of default (NOD), bankruptcy discharge or dismissal, short sale, deed in lieu of foreclosure or modification) - Modifications that were not the results of a distress situation are not subject to the waiting period
Occupancy	Follow AUS and applicable current Agency selling guide
Employment and Income	- Follow AUS and applicable current Agency selling guide unless otherwise addressed below. - Minimum 2 years employment history. Gaps over 30 days within 2 year requires LOE - Commission/bonus income with less than a 2-year history may not be used for qualification - Unacceptable Income: Income produced or in relation to federally prohibited activities are not eligible
Debts	Follow AUS and applicable current Agency selling guide.
Assets and Reserves	- Follow AUS and applicable current Agency selling guide unless otherwise addressed below. - Gift of equity is not allowed - Business funds - require a CPA letter to confirm it will not impact the business - Funds to close must be in U.S. financial institution. No funds to close from outside the U.S. are allowed. <u>Reserves (PITI for property x months): Follow greater of AUS or matrix</u> - Business funds, HELOC, Gift funds, and cash-out from refinance are not an acceptable source for reserves
Interested Party Contribution (IPC)	- Can only be used for closing costs and prepaid expenses, not down payment - Maximum 9% if LTV ≤ 75%, Maximum 6% if LTV > 75% for primary residence and 2nd home. - Exceeding IPC after above use is considered as sales concessions, will be deducted from sale price to determine LTV
Compliance	All loans must be QM Safe Harbor. HPML is not allowed
Title Ownership	- Individual, Joint Tenants, Inter-Vivos Revocable Trusts - Ineligible: Tenants In Common
Trust	- Must be Inter-Vivos revocable trust (a.k.a Living trust) - Borrower(s) must be trustor, trustee and the primary beneficiary - The trustee must have the power to do mortgage - Illinois land trust is not eligible
Escrows & Title	- No impound required except when property is in flood zone - Any existing tax or liens must be removed or paid in full through escrow - Any item that will include a UCC associated with the property will be accepted as exception only (different loan limit, LTV, DTI, and reserves are required) - Escrow holdback is not allowed
Power of Attorney	Follow AUS and applicable current Agency selling guide
Purchase	- Follow AUS and applicable current Agency selling guide unless otherwise addressed below. - Assignment of purchase contract unless the transferor is a family member and there is no change to the purchase price
Rate & Term	Follow AUS and applicable current Agency selling guide.
Cash-Out	- Follow AUS and applicable current Agency selling guide unless otherwise addressed below: - Max Cash-in-hand: \$500,000 - Payoff of a HERO lien is considered cash-out - Ineligible: Texas 50(a)(6), Single-Closing Construction To Permanent Financing
PACE/Solar Panels	Any item that will include a UCC associated with the property and/or will create an easement on title is not eligible
Subordinate Financing	- Allowed up to maximum LTV, CLTV as per matrix - CLTV must be calculated using the full line amount (highest limit) for any HELOC - Shared appreciation loans not allowed
Temporary Buydown	Not eligible